

THE IMPLOSION OF the dot-com bubble in the early 2000s reduced household wealth by \$6.2 trillion.

The end of the housing bubble cut away more than \$8 trillion.

It's hard to overstate how socially devastating financial bubbles can be. They ruin lives.

Why do these things happen?

And why do they *keep* happening?

Why can't we learn our lessons?

The common answer here is that people are greedy, and greed is an indelible feature of human nature.

That may be true, and it's a good enough answer for most. But remember from chapter 1: no one is crazy. People make financial decisions they regret, and they often do so with scarce information and without logic. But the decisions made sense to them when they were made. Blaming bubbles on greed and stopping there misses important lessons about how and why people rationalize what in hindsight look like greedy decisions.

Part of why bubbles are hard to learn from is that they are not like cancer, where a biopsy gives us a clear warning and diagnosis. They are closer to the rise and fall of a political party, where the outcome is known in hindsight but the cause and blame are never agreed upon.

Competition for investment returns is fierce, and someone has to own every asset at every point in time. That means the mere idea of bubbles will always be controversial, because no one wants to think they own an overvalued asset. In hindsight we're more likely to point cynical fingers than to learn lessons.

I don't think we'll ever be able to fully explain why bubbles occur. It's like asking why wars occur—there are almost always several reasons, many of them conflicting, all of them controversial.

It's too complicated a subject for simple answers.

But let me propose one reason they happen that both goes overlooked and applies to you personally: Investors often innocently take cues from other investors who are playing a different game than they are.
